



# Counter-Inflation (Temporary Provisions) Act 1972

## 1972 CHAPTER 74

An Act to authorise measures to counter  
inflation. [30th November 1972]

**B**E IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) Subject to the provisions of this Act, section 2 of this Act shall cease to have effect at the expiration of a period of ninety days beginning with the date on which this Act is passed. Duration of section 2.

(2) Her Majesty may by Order in Council made not later than thirty days before the date on which the said section 2 would otherwise cease to have effect, substitute for the ninety days mentioned in subsection (1) above such longer period, not exceeding one hundred and fifty days, as may be specified in the Order.

(3) An Order in Council under subsection (2) above shall cease to have effect at the expiration of a period of twenty-eight days beginning with the date on which it is made, unless before the end of that period the Order has been approved by a resolution of each House of Parliament.

2.—(1) Prices or charges to which this section applies, and Prices, pay, which are for transactions effected by a person at a time when dividends and rents, this section applies to the prices or charges, shall not exceed

the prices or charges for transactions of the same description effected by the same person in the course of business before 6th November 1972.

(2) An employer shall not pay remuneration to which this section applies for work for any period during which this section applies to the remuneration at a rate which exceeds the rate of remuneration paid by him for the same kind of work before 6th November 1972.

(3) A company to which this section applies shall not declare an ordinary dividend which exceeds the corresponding ordinary dividend declared by that company in the previous calendar year, and shall not declare an ordinary dividend which does not correspond to any ordinary dividend declared in the previous calendar year.

(4) The appropriate Minister may by order provide for preventing increases of rent over rent payable before 6th November 1972.

(5) The appropriate Minister may apply this section—

- (a) to any prices for the sale of goods, and to any charges for the performance of services, including charges for the application of any process to goods, being prices or charges in the course of business, and
- (b) to remuneration under contracts of employment for any kind of work to be performed wholly or substantially within the United Kingdom, or on British ships or aircraft, and
- (c) to companies incorporated under the law of the United Kingdom,

and where subsection (1) of this section, as applied to any prices or charges, is contravened, the liability for the contravention attaches to the person selling the goods or performing the services.

(6) The power conferred by subsection (5) above shall be exercisable by order, or by notice given to the person, or each of the persons, to whom this section is to apply.

(7) There is no contravention of subsections (1), (2) or (3) of this section if what has been done is authorised by the order or notice applying this section, or by the consent of a Minister given in writing.

3.—(1) The terms of any agreement which was entered into by an employer and an employee before 6th November 1972, and which governs the rate of remuneration both for work before that date and for work when section 2 of this Act is in force, shall be modified in accordance with subsection (2) below.

Existing contracts of employment: modification while section 2 is in force.

(2) The rate at which remuneration is payable under the agreement to the employee for work for any period when section 2 of this Act is in force shall not exceed the highest rate at which remuneration was payable under the agreement to him for the same kind of work before 6th November 1972.

(3) This section shall not apply to an increase in remuneration which is in respect of age, or length of service, or length of service in employment of a particular kind, or in employment in a particular grade.

(4) This section shall not apply to remuneration for work other than work to be performed wholly or substantially within the United Kingdom or on British ships or aircraft.

4.—(1) The appropriate Minister may for the purposes of this Act by notice require any person engaged or employed in any business, or any organisation of employers, or any officer of an organisation of employers— Power to obtain information.

(a) to furnish to the appropriate Minister such estimates, returns or other information as may be specified or described in the notice, or

(b) to produce to an officer of the appropriate Minister, duly authorised for the purpose, any documents so specified or described,

and may in the notice specify the way in which the notice is to be complied with and, in the case of a notice relating to documents, the facilities to be afforded for making extracts from, or taking copies of, the documents.

(2) No person shall be compelled, in complying with any such notice, to give any information which he could not be compelled to give in evidence in proceedings before the High Court.

5.—(1) If a person contravenes any of the provisions of section 2 of this Act he shall be liable— Offences.

(a) on summary conviction to a fine not exceeding £400, and

(b) on conviction on indictment to a fine.

(2) If an organisation of workers or organisation of employers, or any other organisation or person, takes, or threatens to take, any action with a view to compel, induce or influence a person to contravene any of the provisions of section 2 of this Act, he shall be liable—

(a) on summary conviction to a fine not exceeding £400, and

(b) on conviction on indictment to a fine.

(3) A person who—

(a) refuses or wilfully neglects to comply with a notice under section 4 of this Act, or

- (b) in furnishing any estimate, return or other information in compliance with such a notice makes any statement which he knows to be false in a material particular, or recklessly makes any statement which is false in a material particular, or
- (c) with intent to deceive, produces in compliance with such a notice a document which is false in a material particular,

shall be liable on summary conviction to a fine not exceeding £100.

(4) Where an offence is alleged to have been committed under this Act by an organisation of workers or organisation of employers, or by any other organisation, being an unincorporated body—

- (a) proceedings for the offence shall be brought in the name of that body (and not in that of any of its members),
- (b) for the purpose of any such proceedings any rules of court relating to the service of documents shall have effect as if that body were a corporation, and
- (c) any fine imposed on conviction shall be payable out of the funds of that body.

1925 c. 86.  
1952 c. 55.

(5) Where an offence mentioned in subsection (4) above is an offence punishable on conviction on indictment, section 33 of the Criminal Justice Act 1925 and Schedule 2 to the Magistrates' Courts Act 1952, shall have effect as if the said body were a corporation.

(6) Where an offence under this Act committed by a body corporate is proved to have been committed with the consent or connivance of, or to be attributable to any neglect on the part of, any director, manager, secretary or other similar officer of the body corporate or any person who was purporting to act in any such capacity, he as well as the body corporate shall be guilty of the offence and shall be liable to be proceeded against and punished accordingly.

(7) Nothing in this section shall apply to a contravention of section 2(4) of this Act.

1971 c. 72.

(8) Nothing contained in or made under this Act, and nothing made illegal by this section, shall give rise to any criminal or tortious liability for conspiracy, to any other liability in tort or to any liability under the Industrial Relations Act 1971 in respect of an unfair industrial practice.

(9) Proceedings for an offence under this Act shall not be instituted in England or Wales except by or with the consent of the Attorney General.

6.—(1) This Act in its application to Scotland shall have effect subject to the provisions of this section. Application to Scotland.

(2) For any reference to the High Court there shall be substituted a reference to the Court of Session.

(3) In relation to any proceedings on indictment for an offence alleged to have been committed under this Act by a body such as is mentioned in section 5(4) of this Act, section 40 of the Criminal Justice (Scotland) Act 1949 (proceedings on indictment against bodies corporate) shall have effect as if the said body were a body corporate. 1949 c. 94.

(4) Section 5(8) above shall not apply except in relation to any unfair industrial practice but, where any act is prohibited by subsection (2) of that section, or by or under any other provision of this Act, the fact that it is so prohibited shall be treated as irrelevant for the purposes of any civil proceedings.

(5) For any reference to the Hire-Purchase Act 1965 there shall be substituted a reference to the Hire-Purchase (Scotland) Act 1965. 1965 c. 66.  
1965 c. 67.

7.—(1) This Act shall, in its application to Northern Ireland, have effect subject to the provisions of this section. Application to Northern Ireland.

(2) For any reference to the High Court there shall be substituted a reference to the High Court in Northern Ireland.

(3) Where an offence mentioned in section 5(4) of this Act is an offence punishable on conviction on indictment, section 18 of the Criminal Justice Act (Northern Ireland) 1945 and Schedule 5 to the Magistrates' Courts Act (Northern Ireland) 1964 (procedure on charge of an offence against a corporation) shall have effect as if the body there mentioned were a corporation. 1945 c. 15  
(N.I.).  
1964 c. 21  
(N.I.).

(4) Proceedings for an offence under this Act shall not be instituted in Northern Ireland except by or with the consent of the Attorney General for Northern Ireland.

(5) For any reference to the Hire-Purchase Act 1965 there shall be substituted a reference to the Hire-Purchase Act (Northern Ireland) 1966. 1966 c. 42  
(N.I.).

8.—(1) In this Act, unless the context otherwise requires— Interpretation.

“the appropriate Minister” means the Treasury, the Secretary of State or the Minister of Agriculture, Fisheries and Food ;

“business” includes any trade, profession or vocation, and the expression “in the course of business” shall be construed accordingly ;

“employee” means an individual who has entered into or works under a contract with an employer, whether the contract be for manual labour, clerical work or otherwise, be expressed or implied, oral or in writing, and whether it be a contract of service or of apprenticeship; and cognate expressions shall be construed accordingly;

“goods” includes ships and aircraft, minerals, substances and animals (including fish);

1971 c. 72. “organisation of workers” and “organisation of employers” have the meanings given by sections 61(1) and 62(1) of the Industrial Relations Act 1971;

“price” includes a charge of any description.

(2) Any reference in this Act to an offence under this Act includes a reference to an offence under an order made under this Act.

(3) Any reference in this Act to any other enactment shall, except so far as the context otherwise requires, be construed as a reference to that enactment as amended or applied by or under any other enactment, including this Act.

(4) This Act shall apply in relation to—

(a) a conditional sale agreement, and

(b) a hire-purchase agreement,

as if the agreement were a sale of the goods to which the agreement relates for an amount equal to the total purchase price or hire-purchase price, with a fair reduction where the consideration for receipt of that price includes the installation, maintenance or repair of the goods or the performance of other services apart from the giving of credit.

1965 c. 66. This subsection shall be construed in accordance with the Hire-Purchase Act 1965.

Administrative expenses.

9. Any administrative expenses incurred by a government department in consequence of the provisions of this Act shall be paid out of money provided by Parliament.

Short title and supplemental provisions.

10.—(1) This Act may be cited as the Counter-Inflation (Temporary Provisions) Act 1972.

(2) The Schedule to this Act shall have effect for supplementing this Act.

## SCHEDULE

Section 10.

### SUPPLEMENTAL PROVISIONS

#### *Contents of orders and notices under section 2*

1.—(1) An order or notice under section 2 of this Act may be framed in any way whatsoever, may prescribe any method of comparing prices, charges, rates of remuneration, dividends or rents, and may define any expression used in those sections (other than an expression defined by section 8 of this Act).

(2) Any such order or notice concerning remuneration may take account of any terms or conditions of employment, and may determine whether remuneration becoming payable after the period for which it is payable is to be taken into account in making any comparison.

(3) Any such order concerning dividends or rents (as defined in the order) may contain any kind of supplemental or incidental provisions, including provisions creating criminal offences, and, in the case of an order concerning rents, provisions for the recovery of rent overpaid.

(4) Any provisions made in pursuance of sub-paragraph (3) above shall, if the order so provides, continue in force after section 2 of this Act ceases to have effect.

#### *Validity of transactions*

2.—(1) The appropriate Minister may by order prescribe the degree to which anything made illegal by section 2 of this Act, or by an order under this Act, is to be invalid either at the time when section 2 of this Act is in force, or later.

(2) Where in accordance with an order made under this paragraph a contract to pay any remuneration remains invalid after the said time, the order may further provide that the provisions of section 5 of this Act shall continue to apply in relation to the implementation of the contract as if section 2 of this Act was still in force.

#### *Consequences of expiration of section 2 of this Act*

3. On the expiration of section 2 of this Act, section 38(2) of the Interpretation Act 1889 (effect of repeals) shall apply as if that 1889 c. 63. section had been repealed by another Act.

#### *Legislation passed before this Act*

4.—(1) This Act, and any provision made under this Act, shall have effect notwithstanding anything in any other Act or statutory provision passed or made before this Act.

(2) The appropriate Minister may by order provide that any Act passed before this Act, or any provision having effect under any such Act, which relates to prices, charges, remuneration, dividends or

rents shall, while section 2 of this Act is in force, have effect subject to such exceptions, modifications or adaptations as may be specified in the order.

*Variation of orders and notices*

5.—(1) An order made or notice given under this Act may be varied or revoked by a subsequent order or notice so made or given.

(2) The variation or revocation of the order or notice shall not affect liability for any offence committed before the variation or revocation takes effect.

*Parliamentary control of orders*

6. An order under this Act shall be contained in a statutory instrument subject to annulment in pursuance of a resolution of either House of Parliament.

*Giving of notices*

7. The appropriate Minister may by regulations in a statutory instrument subject to annulment in pursuance of a resolution of either House of Parliament prescribe the manner in which any notice is to be given under this Act, and the evidence which is to be sufficient evidence of its having been given.

*Crown servants*

8.—(1) Although this Act does not bind the Crown, an order may be made under this Act so as, without imposing any obligation on the Crown as an employer or otherwise, to apply (either expressly or impliedly) to persons employed by or under the Crown, and section 5(2) of this Act shall apply accordingly.

(2) Section 3 of this Act shall apply, where a person employed by or under the Crown has any enforceable claim to remuneration for that employment, as it applies in the case of an employee of a private person.

(3) For the purposes of this Act employment by any such body as is specified in Schedule 3 to the Redundancy Payments Act 1965 (national health service employers) and corresponding employments in Northern Ireland shall (if it would not otherwise be so regarded) be regarded as employment by or under the Crown.

(4) In the application of this paragraph to Northern Ireland references to the Crown include references to the Crown in right of the Government of Northern Ireland.